



Forrest Knight's Playbook

Volume Profile Playbook

Instruments: **Futures** **Options**

Trading Style: **Swing Trading** **Day Trading**

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Playbook Overview

The Volume Profile Strategy is a structured, repeatable approach built on the principle that price reacts differently depending on how much volume has been transacted at each price level. Instead of focusing on volume over time (like traditional volume bars), this strategy analyzes **volume at price** to reveal where market participants are positioned.

The two key behaviors:

- **High-Value Areas (HVAs)** – Price tends to consolidate where a large number of transactions have occurred. These zones are “sticky”.
- **Low-Value Areas (LVAs)** – Price tends to move quickly through zones with little trading activity.

By identifying **volume edges** (the sharp drop-off from high to low volume), traders can anticipate where the price will likely react, stall, or break away.

The method combines:

- Volume Profile (session-based & visible range)
- Auction Market Theory
- Signal candle confirmation
- Four key daily liquidity levels
- Higher timeframe directional bias
- Edge-to-edge targeting

The goal is to take high-probability trades at meaningful volume edges, confirmed by price action, while avoiding mid-zone, low-participation areas.



Playbook Rules

Volume Profile Interpretation

The Volume Profile shows how many people transacted at each price, not at each time.

- Price levels with high transaction volume are called high-value areas (HVA).
- Price levels with low transaction volume are low-value areas (LVA).

A volume shelf is a sharp drop-off at the edge of a high-value node, which becomes a key reaction zone.

Use the Right Timeframes

Higher timeframes (Weekly, Daily) are used to identify long-term value areas and edges.

Execution timeframes: 4H and 1H are the main chart timeframes used for identifying signal candles and taking trades.

Avoid overlapping too many profiles; keep bias and execution timeframes clearly separated.

Focus on Four Key Daily Levels

These are important contextual liquidity zones:

- Overnight High
- Overnight Low
- Prior Day High
- Prior Day Low

These are liquidity zones where trapped traders are likely to act aggressively when the price returns.

Volume Edge + Signal Candle = Trade Setup

To take a trade, three elements must be present:

- Price is touching a **volume profile edge** (transition from HVA to LVA or vice versa).
- The location aligns with a **key contextual level** (ONH/ONL/PDH/PDL).
- A **high volume signal candle** forms with a visible wick rejecting the area and closing in the trade direction.

Always wait for the signal candle to close. Do not front-run it; even the last few minutes of a candle can change everything. A bullish candle can turn bearish right before close.

Directional Bias Comes from Higher Timeframes

- If the Weekly chart closes with a high volume bottom-wick reversal candle at a volume edge, then the bias is long.
- All intraday setups should then favor long trades, even if entries are taken on 4H, 1H, or lower timeframes.
- You don't trade the weekly candle, but you use it to know which direction to targetize.

Execution: Entry, Stop, Target

- **Entry:** After the signal candle closes at the volume edge.
- **Stop:** Just below the signal candle's wick or beyond the edge of the high volume node.
- **Target:** The next shelf – edge-to-edge targeting. You trade through low-volume zones and look for the next high-volume area.